Table 17: Consumption-income elasticity by age and net-wealth percentile

Net-wealth percentile	Age of household head							
	30	35	40	45	50	55	60	65
5	0.46* [0.34,0.57]	0.38* [0.29,0.46]	0.35* [0.27,0.43]	0.35* [0.28,0.41]	0.36* [0.31,0.43]	0.38* [0.31,0.45]	0.38* [0.32,0.44]	0.34* [0.22,0.47]
10	0.44* [0.33,0.53]	0.37* [0.30,0.44]	0.34* [0.28,0.41]	0.35* [0.30,0.40]	0.36* [0.32,0.41]	0.38* [0.32,0.43]	0.37* [0.32,0.42]	0.32* [0.23,0.43]
20	0.39* [0.27,0.50]	0.35* [0.29,0.42]	0.34* [0.29,0.39]	0.35* [0.31,0.39]	0.36* [0.32,0.39]	0.36* [0.32,0.40]	0.34* [0.31,0.38]	0.29* [0.22,0.36]
50	0.25* [0.10,0.42]	0.29* [0.22,0.36]	0.32* [0.27,0.37]	0.33* [0.30,0.37]	0.33* [0.30,0.37]	0.32* [0.28,0.36]	0.28* [0.24,0.32]	0.23* [0.15,0.32]
80	0.13* [0.04,0.28]	0.24* [0.17,0.32]	0.28* [0.22,0.34]	0.29* [0.24,0.33]	0.28* [0.24,0.32]	0.26* [0.21,0.31]	0.25* [0.20,0.29]	0.26* [0.15,0.36]
90	0.10 [-0.02,0.30]	0.22* [0.12,0.33]	0.27* [0.18,0.35]	0.27* [0.20,0.33]	0.25* [0.19,0.31]	0.23* [0.17,0.31]	0.24* [0.17,0.30]	0.29* [0.13,0.42]
95	0.08 [-0.07,0.31]	0.21* [0.10,0.33]	0.26* [0.15,0.36]	0.26* [0.18,0.33]	0.24* [0.16,0.31]	0.22* [0.14,0.31]	0.23* [0.16,0.30]	0.30* [0.11,0.46]

Source: Own elaboration based on the Spanish Survey of Household Finances (EFF, Banco de España) and on the methodological framework of Anghel et al. (2018).

Notes: This table reports own estimates of the consumption-income elasticity by age of the household head and contemporaneous net-wealth percentile. Each cell reports the estimated elasticity, with the 90% bootstrap confidence interval in square brackets. The estimates are obtained from a flexible log-log specification in levels using residualized measures of household consumption and household income. The specification allows the income elasticity of consumption to vary smoothly across the life cycle and across the net-wealth distribution through a tensor-product Hermite polynomial basis. The selected specification uses a Hermite basis of degree $K_{age} = 3$ for age and $K_{wealth} = 2$ for net wealth. The estimation is weighted using the household survey weights and uses all available waves. The sample contains 13,492 observations and 4,926 households. Net wealth is measured by the household's contemporaneous position in the net-wealth distribution within each wave. Confidence intervals are computed by cluster bootstrap at the household level, using 400 replications and resampling households with replacement. Asterisks indicate that the 90% bootstrap confidence interval excludes zero. Overall, 54 out of 56 estimated cells are statistically different from zero at the 10% level. Higher values indicate a stronger response of consumption to income at the corresponding age and wealth position.